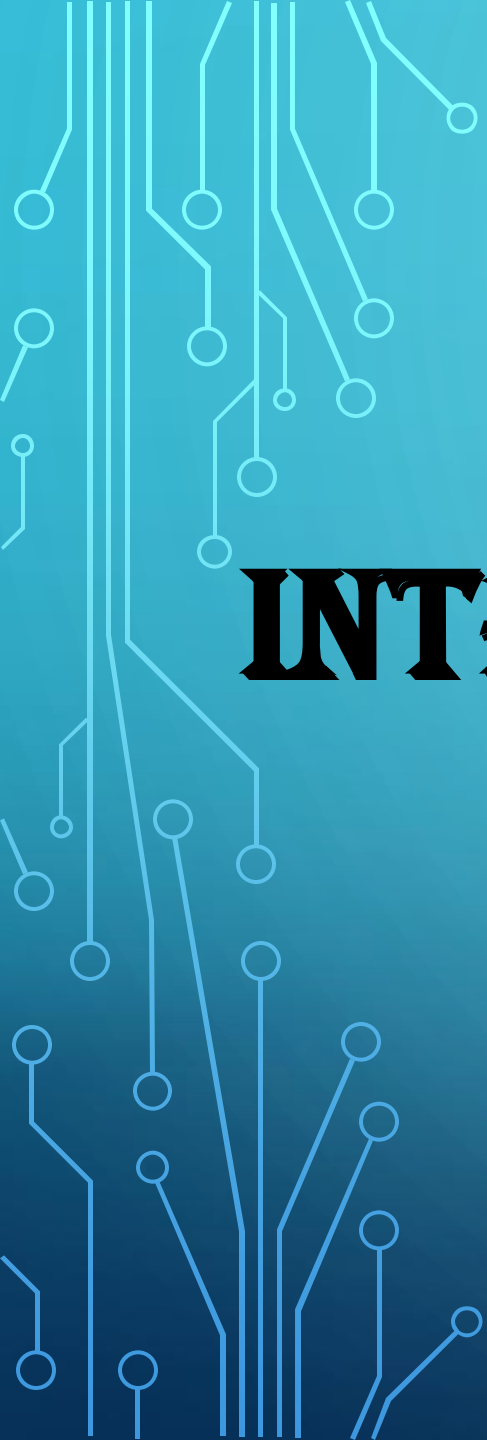




CHAPTER – 01

ACCOUNTING BASICS

A decorative graphic on the left side of the slide consisting of white lines and circles on a blue gradient background, resembling a circuit board or a stylized tree structure.

(1)

INTRODUCTION TO BUSINESS

INRTRODUCTION TO BUSINESS



Definition of Business



Types of Businesses



Forms of Business Entities



Objective of entities



Concept of Profit

(1)

DEFINITION OF BUSINESS

BUSINESS

Any **activity**



carried out by **a person** or a **group of persons**



with a view to earn **profit**



Through production, purchase and sale of goods or
services

(2)

TYPES OF BUSINESSES

(OPERATIONAL STATUS OF BUSINESS)

MANUFACTURING BUSINESSES



MANUFACTURING BUSINESS

Buying raw goods or materials ; &



converting them into finished products

EXAMPLES OF MANUFACTURING BUSINESS

Textile Mills

Sugar Mills

Cement
Factories

Furniture
Industry

Pharmaceutical
Industry

Sports Goods
etc.

TRADING BUSINESSES



TRADING BUSINESS

Buying & Selling of goods



without any further processing or
modification

EXAMPLES OF TRADING BUSINESS

Medical
Stores

Departmental
Stores

Petrol Pumps

Electronic
shops

Fruit shops

Motor
Showrooms
etc.

SERVICE BUSINESS



SERVICE BUSINESS

**Selling of intangible
services by using
knowledge, skills or other
resources.**

EXAMPLES OF SERVICE BUSINESS

Courier
services

Hospitals

Barber
shops

Educational
Institutes

CA Firms

Law firms
etc.

OTHER TYPES



Agricultural

Livestock

Mining & Oil extraction

(3)

FORMS OF BUSINESS ENTITIES

(LEGAL STATUS OF BUSINESS)

TYPES OF BUSINESS ENTITIES



Sole
Proprietorship

Partnership

Limited
Company

SOLE PROPRIETORSHIP

Only one person owns,
runs and manages all the
affairs of the business.

PARTNERSHIP

Any activity undertaken by two or more persons



with a view to earn profit.

LIMITED COMPANY

A company is a business entity registered with SECP under Companies Act, 2017

TYPES OF LIMITED COMPANIES

Single
member
company
(SMC)

Private
Limited
Company

Public Limited
Company

- Unlisted company
- Listed company

(4)

TYPES OF ENTITIES BY OBJECTIVE

OBJECTIVE OF ENTITIES

**Profit
oriented
entities**

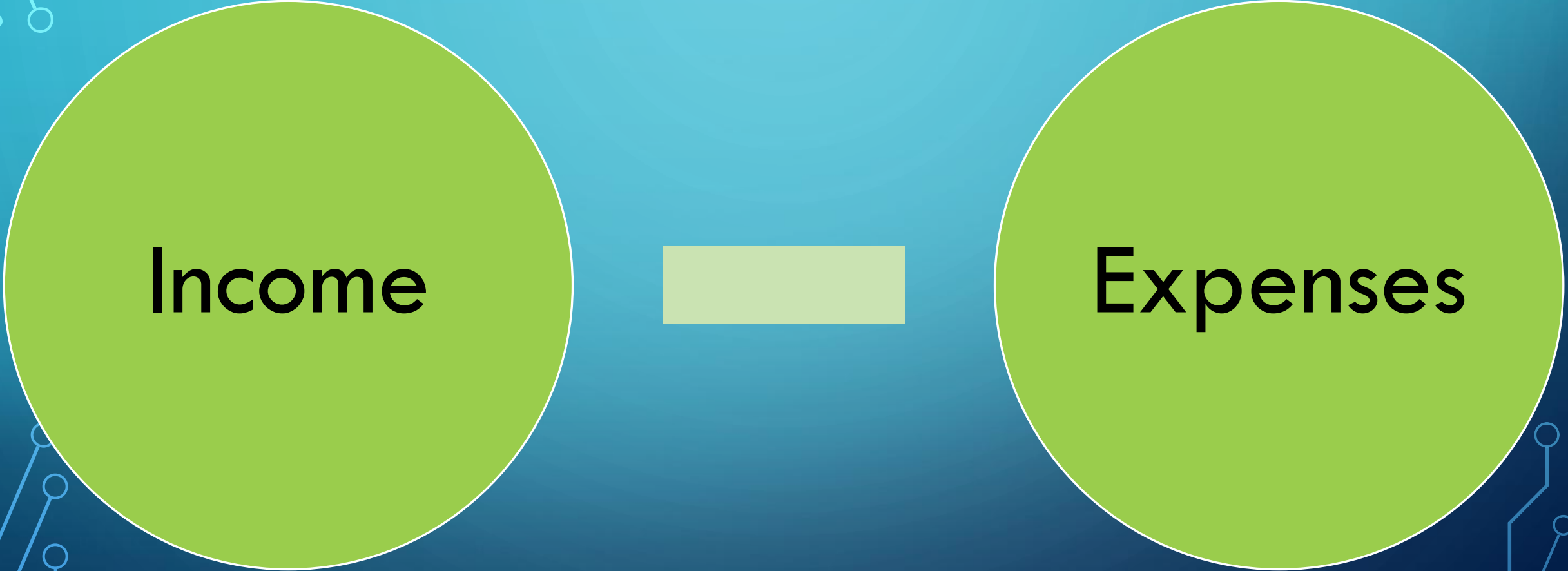
**Non profit
oriented
organizations**

**Government
sector
enterprises**

(5)

CONCEPT OF PROFIT

PROFIT



The diagram illustrates the calculation of profit. It features two large green circles on a blue background with circuit-like patterns. The left circle is labeled 'Income' and the right circle is labeled 'Expenses'. A light green rectangular bar with a minus sign is positioned between the two circles. Above the circles, the word 'PROFIT' is written in large, bold, black capital letters.

Income

Expenses

QUESTION – ANSWER SESSION

